

PRD-003 — Billing and Subscriptions

Product: PrepHub V2

Status: Approved

Depends on:

- PRD-000 — Design System
- PRD-001 — Authentication
- PRD-002 — District Verification

Related Documents

- PRD-004 — Student Dashboard
 - Future Parent & Family Accounts PRD
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1. Purpose

This document defines how students purchase PrepHub, manage their subscriptions, and maintain access to premium features.

PrepHub supports two methods of accessing the platform:

- District-sponsored access (defined in PRD-002)
- Individual paid subscriptions (this document)

Billing should be simple, transparent, and trustworthy. Students should always understand what they are paying for, when they will be charged, and how to manage their subscription.

2. Goals

The billing system must:

- Allow students to purchase PrepHub individually.
- Support both monthly and annual plans.

- Accept secure online payments.
 - Automatically renew subscriptions.
 - Allow students to manage their subscription at any time.
 - Support promotional discount codes.
 - Preserve all learning progress regardless of subscription status.
 - Make it easy for parents or guardians to purchase PrepHub for a student.
 - Clearly communicate renewal dates, payment failures, and subscription status.
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3. Non-Goals

This PRD does not define:

- District contracts
 - School billing
 - District administrator purchases
 - Classroom licensing
 - Teacher purchases
 - Authentication
 - District verification
 - Adaptive learning
 - Student dashboard
 - Parent dashboards
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4. Subscription Plans

PrepHub offers two individual subscription options.

Monthly

Price

\$25 per month

Best suited for students preparing over a shorter period.

Annual

Price

\$99 per year

Displayed as:

Best Value

Students may switch between plans at any time through the Billing page.

5. Promotional Pricing

PrepHub supports promotional pricing through discount codes.

Examples include:

- YouTube campaigns
- Seasonal promotions
- Partner organizations
- Marketing campaigns

Promotional codes may provide:

- Percentage discounts
- Fixed dollar discounts
- Limited-time offers

Examples:

PREPHUB20

SUMMER25

SATSUCCESS

The standard annual price remains \$99.

Promotional codes may reduce the purchase price, such as lowering the annual subscription to approximately \$75 during marketing campaigns.

6. Free Experience

Students may create a PrepHub account without purchasing a subscription.

Every student receives one free adaptive diagnostic.

After Completing the Diagnostic

Students receive:

- Estimated SAT score (displayed as a range)
- Estimated PSAT score (displayed as a range)
- Section-by-section performance
- Strengths
- Weaknesses
- Personalized recommendations

The student can fully explore these results.

However, selecting **Begin Personalized Practice** requires an active subscription or district-sponsored access.

7. Checkout

Selecting an individual subscription opens the checkout experience.

Checkout includes:

- Selected plan
- Price
- Billing frequency
- Promo code field
- Payment information
- Order summary

The checkout page clearly states:

- Subscription renews automatically.
- Subscription may be cancelled at any time.

- Cancellation stops future renewals.
 - No refunds are provided except where required by law or for billing errors.
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8. Payment Provider

PrepHub uses Stripe for payment processing.

Stripe is responsible for:

- Secure payment collection
- Payment authorization
- Subscription management
- Recurring billing
- Payment method updates
- Receipts and invoices

PrepHub should never directly store customer payment card information.

9. Parent or Guardian Payments

A parent or guardian may purchase PrepHub on behalf of a student.

The payer may use:

- A different name
- A different billing email
- Their own payment method

The parent does not need to create a separate PrepHub account.

The student's learning account remains independent from billing information.

10. Automatic Renewal

Individual subscriptions renew automatically.

Monthly plans renew every month.

Annual plans renew every year.

Before completing checkout, PrepHub must clearly disclose that subscriptions renew automatically until cancelled.

11. Subscription Management

Billing is accessed through:

Profile → Billing

The Billing page displays:

- Current plan
 - Monthly or annual billing cycle
 - Subscription status
 - Next renewal date
 - Current price
 - Payment method
 - Billing history
 - Receipts
 - Promotional code entry
 - Plan switching
 - Cancellation
 - Reactivation
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12. Switching Plans

Students may switch between monthly and annual subscriptions.

PrepHub should clearly explain:

- The effective date of the change
- Any immediate charges
- Any future billing changes

Students should never lose progress when switching plans.

13. Cancellation

Students may cancel at any time from the Billing page.

Before cancellation, PrepHub displays a confirmation page explaining:

- The date access will end
- That no future automatic renewals will occur
- That learning progress will remain saved

Example:

Your subscription will remain active until August 18, 2026.

After this date, Personalized Practice will no longer be available.

Buttons:

- Keep Subscription
- Confirm Cancellation

Students may reverse a scheduled cancellation before their access expires.

14. After Access Ends

Students continue to have access to:

- Login
- Dashboard
- Diagnostic results
- Predicted SAT score
- Predicted PSAT score
- Progress history
- Profile
- Billing page
- Receipts

Students lose access to:

- Personalized Practice
- New adaptive question sets
- Premium learning features

Locked content should clearly explain that an active subscription is required.

15. Failed Payments

When a recurring payment fails:

PrepHub immediately:

- Sends an email notification.
- Displays an in-app notification.

Students receive a seven-day grace period.

During this time:

- Practice remains available.
- Billing notifications remain visible.

If payment is not successfully updated within seven days:

- Premium access ends.
 - Student progress remains saved.
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16. District Transition

A student who later verifies district-sponsored access may continue using the same PrepHub account.

When district access becomes active:

- The existing subscription is scheduled not to renew.
- District-sponsored access replaces the paid subscription after the current billing period.
- Student progress remains unchanged.
- No duplicate account is created.

17. Refund Policy

PrepHub does not provide refunds for subscriptions.

Exceptions include:

- Billing errors
- Situations where refunds are legally required

18. Security & Privacy

Billing information must remain separate from learning data.

PrepHub should:

- Use secure payment processing.
- Never expose payment information.
- Never store raw card numbers.
- Protect billing history.
- Protect invoices and receipts.

19. Responsive Requirements

The Billing experience follows PRD-000.

The experience must be:

- Desktop-first
 - Fully responsive
 - Keyboard accessible
 - Easy to use on mobile
 - Consistent with the rest of PrepHub
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20. Acceptance Criteria

The Billing system is complete when:

Purchasing

- Students can purchase monthly or annual plans.
- Promotional codes work correctly.
- Stripe successfully processes payments.

Free Experience

- Students can complete the diagnostic without paying.
- Students receive full diagnostic results.
- Personalized Practice remains locked.

Subscription Management

- Students can:
 - View their plan
 - View renewal dates
 - Update payment methods
 - View receipts
 - Switch plans
 - Cancel subscriptions
 - Reactivate subscriptions

Billing Events

- Automatic renewal functions correctly.
- Payment failures trigger email and in-app notifications.
- Seven-day grace period functions correctly.
- Cancelled subscriptions do not renew.

Access Control

- Active subscribers receive premium features.
- Expired subscribers retain read-only access.
- Progress is never deleted.

- District verification correctly replaces future paid renewals without creating duplicate accounts.
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21. Future Considerations

The following are outside the scope of Version 1:

- Family plans
- Student gifting
- Group purchases
- Installment payment plans
- Apple Pay and Google Pay-specific flows
- Student referral rewards
- Loyalty discounts
- Scholarship codes
- Regional pricing
- Multi-currency support
- Sales tax automation by region
- Parent billing dashboards

These features may be evaluated in future versions of PrepHub.